

If you can swing the payments comfortably, the shorter terms are definitely worthwhile. If you're a disciplined saver, you may be able to do just as well with a thirty-year loan if you invest the monthly savings in stocks or mutual funds.

Adjustable-Rate Mortgages

The interest rates on adjustable-rate mortgages (ARMs) vary. They often start out as much as 1.5 to 2 percentage points lower than the prevailing market rates and increase or decrease at predetermined intervals. The amount of increase or decrease depends on whether they're tied to Treasury bills, CD rates, or some other financial index. The rate is fixed for a certain period (between six months and five years) and then adjusted periodically, perhaps every year or two. The amount the rate can increase at each interval is usually 2 percentage points, and there's often a lifetime cap of 6 percentage points.

In a time of rising interest rates, it can be disturbing to know that your rate can increase every year. Before taking out an ARM, be sure that you can afford the highest payment possible under the terms of the loan. ARMs might be a good option if you know you'll only be in the house for a few years, but if you use one because you can't qualify for a conventional mortgage, you're risking the possible loss of your house.

Balloon Mortgages

Balloon mortgages have lower interest rates than traditional mortgages, but the loan term is only for five to seven years. At the end of that time, the entire balance is due, and you have to either pay it off or refinance at the rates that are in effect then. If you plan to sell your house, pay it off, or refinance it within the time frame of the loan, this might be an option for you.

Interest-Only Mortgages

If you want a lower payment, you might look toward interest-only mortgage options. With a traditional mortgage, your monthly payment